

Fearnleys Dry Bulk Weekly

Nov 5, 2025



Capesize/Newcastlemax

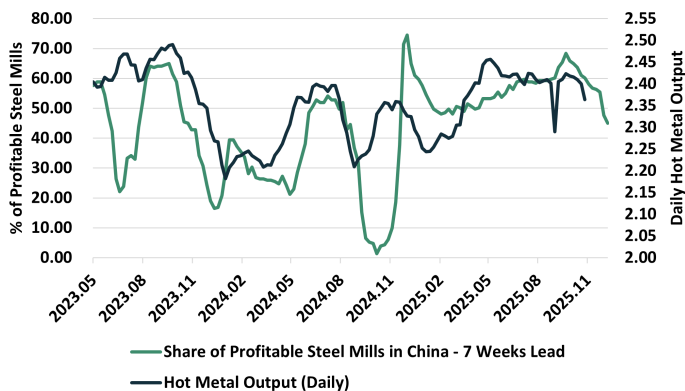
Last week, we wrote "For some time, we have pointed to the iron ore month 1 minus month 3 futures spread as a factor suggesting Q4 could average lower than Q3. The likelihood of that happening seems to increase, as the share of profitable steel mills in China has dropped below 50% - strongly suggesting consumption will continue to trend down until year-end. However, the iron ore futures curve spreads are suggesting the market will strengthen again in Q1."

Consumption kept falling last week, with hot metal output at the lowest level since March (except for the military parade temporary curbs this autumn). This is a clear downside risk for the coming months. However, has the inventory cycle turned? The bottom right chart shows that inventories have changed in a 2-year rhythm in recent years, and it is now ticking up right at the time this rhythm suggested it would.

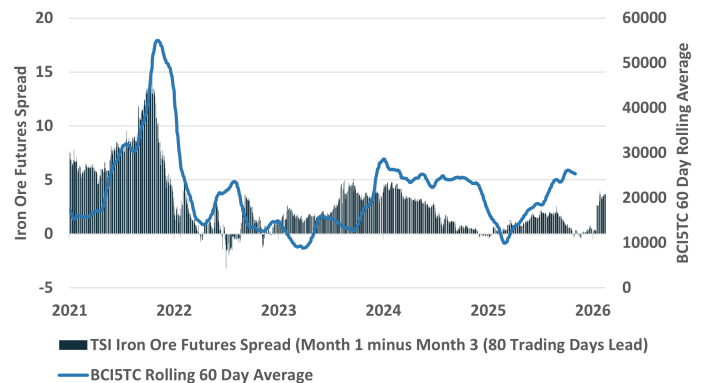
Looking beyond the near-term risk related to falling consumption, the iron ore futures curve remains backwardated (suggesting improving fundamentals from the start of next year). Profit margins at steel mills in China improved noticeably in just the last week, which is another pointer in that direction.

Bauxite volumes have increased, in line with seasonality, but October shipments were still slightly lower than the levels seen prior to the summer.

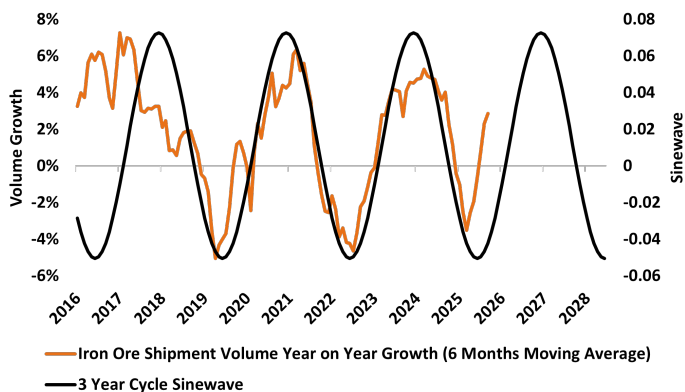
Share of Profitable Steel Mills (7 Weeks Lead) vs Hot Metal Output



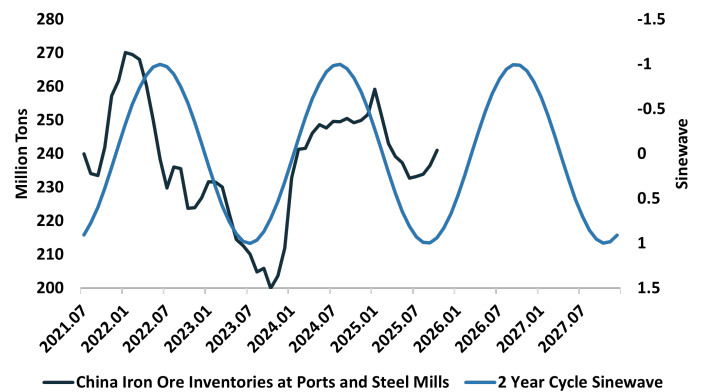
Iron Ore Futures Spread, 1st Month Minus 3rd Month (3 Months Lead) vs BCI5TC 60 Days Rolling Average



Global Iron Ore Shipments Growth, 3 Year Cycle Sinewave



China Iron Ore Inventories at Ports and Steel Mills

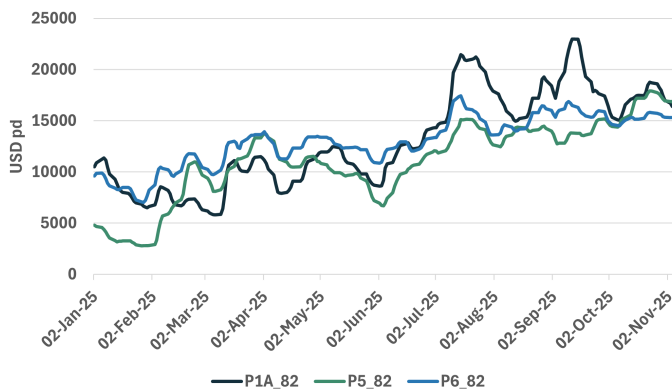


Panamax/Kamsarmax

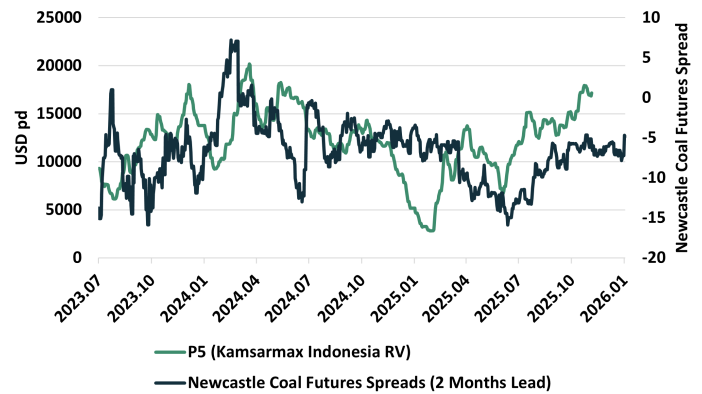
The coal market is strengthening, as evidenced by increasing backwardation and a rise in spot prices up to the levels seen this summer. This suggests support in Pacific markets into the year-end, although a downtrend looks most likely, as the South Atlantic is likely to soften as per the vessel tightness indicator on the lower right chart. Also, the spread over Supramax (58) rates has gotten quite wide.

Atlantic markets in general could, of course, be supported by the US/China trade deal. However, crush margins in China are deeply negative, Soybean CIF prices in the US are more expensive than Argentinian and Brazilian far out on the futures curve, and there has been no official communication from the Chinese side regarding these "12 million tons" that the US says China agreed to buy.

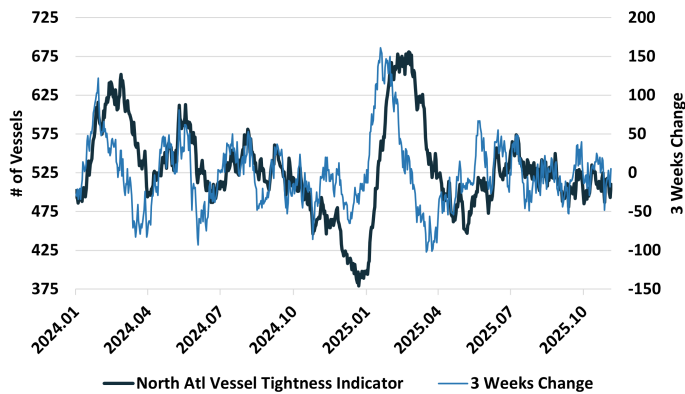
P1A, P5 and P6 YTD



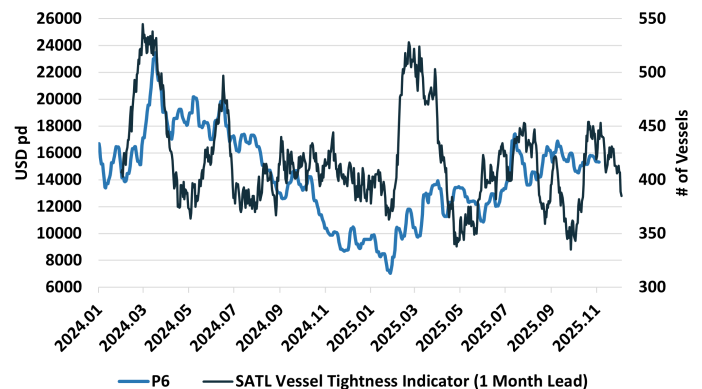
P5 vs Newcastle Coal Futures Curve Spread (Lead 2 Months)



North Atlantic Vessel Tightness Indicator



South Atlantic Vessel Tightness Indicator (Lead 1 Month), vs P6

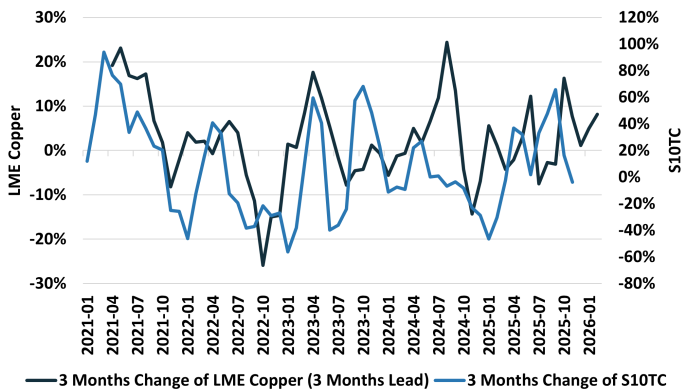


Supramax/Ultramax

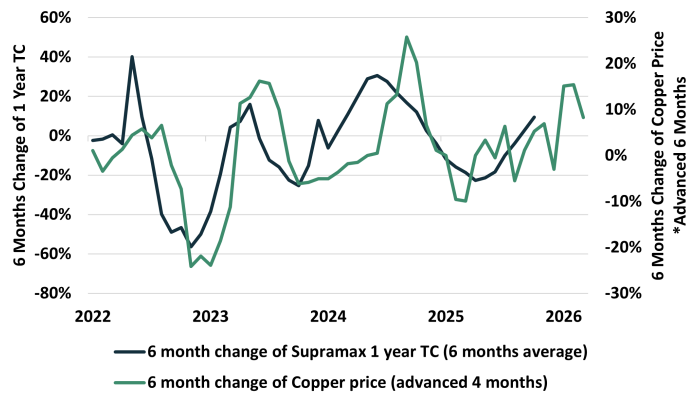
Last week, we wrote: "We still expect that the highs for the year are past us, with most of the downside risk in the Atlantic. If we are correct that the Kamsarmax market in the Pacific is topping here, it is hard to expect further upside for Ultras in that basin. We think the market floor is higher than the first half of this year, so a major downward correction is unlikely. Industrial metals have risen significantly in the last months, and Manufacturing PMIs have improved as well."

No change to the near-term outlook. We updated the copper price lead on the top left chart, which shows a rebound in momentum in Q1 following the softening in momentum seen now in Q4.

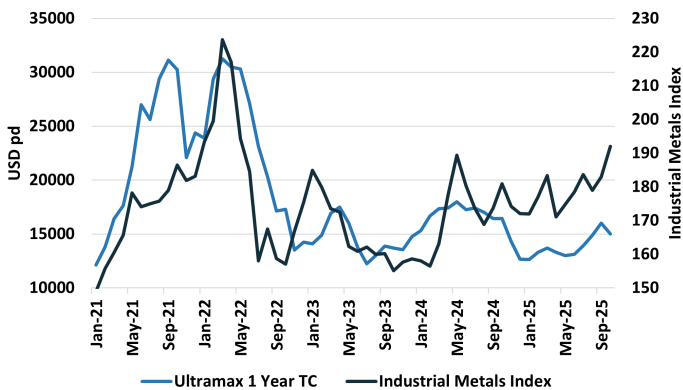
Copper Price 3 Months Change, 3 Months Lead vs 3 Months Change of Supra 10TC



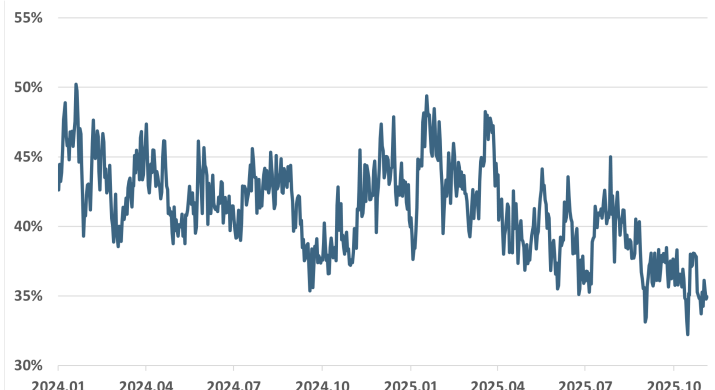
Copper Price 6 months Change, 4 Month Lead vs Supramax 1 Year TC 6 Months Change



Industrial Metals Index vs Ultramax 1 Year TC



Supra/Ultra Ballaster/Laden Vessel Ratio





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